

HEDGEYE DAILY DIGEST

Friday, August 28, 2026 (GMT+8)

The **#Quad1** regime broadened decisively over the last 48 hours. **NVDA** did exactly what Keith McCullough's Alpha Code said it would — held **\$207 TREND support**, broke out through the **\$218 TRADE** trigger, and dragged NASDAQ volatility down with it. With **VXN below 22**, the NASDAQ joins the **S&P 500** and **Russell 2000** in Hedgeye's "Investable Bucket." But McCullough is not chasing semis: **Software (IGV)** — **CRWD, OKTA, SNOW, PANW, DT** — remains the preferred expression, alongside **Healthcare (XLV/FXH)**, **High Yield (HYG)** at record highs, and a widening precious-metals and non-USD currency book. The short book stays tight: **TSLA, Utilities (XLU), GOOGL**.

Reader timezone GMT+8. Hedgeye publishes on EDT (UTC-4); add 12 hours for GMT+8. "Today" covers Hedgeye's Thursday 27 August publishing day, which lands Thursday evening through Friday pre-dawn in GMT+8. "Yesterday" covers Wednesday 26 August EDT.

Today's Publications

EARLY LOOK — "Claude Says #Quad1"

Keith McCullough · 08/27/26 07:54 AM EDT (07:54 PM GMT+8)

McCullough opens on **Claude Shannon** and information theory — "*Noise is interference*" — and builds the entire note around fading narrative in favour of signal. Every algo headline, every consensus view published after the move, and every CNBC segment is interference; the Signals inside The Machine are the channel.

The centrepiece is **NVDA** into its print. His process cared about three numbers and nothing else: implied volatility had ramped to a **+10% premium** versus 30-day realized vol; price had taken a quick **-8% drawdown** to test **@Hedgeye TREND support of \$207**; and the Risk Range signal showed **+11% of immediate-term upside from \$208**. His plan — published *before* the move — was conditional: **IF NVDA holds \$207 TREND and IF it breaks out to bullish @Hedgeye TRADE at \$218, THEN** he is a buyer of NVDA and select Semis with a **\$218 stop**. Today's refreshed Risk Range for **NVDA is \$207-230**.

Rather than crowd the NVDA table, he bought dips in **Software**. He was long **CRWD** in Real-Time Alerts and has been long **OKTA** via Signal Strength Stocks since **May 26, 2026 at \$95.20** — adding **SNOW** and **PANW** the same day. The broader point is a process one: after being **short Software from Q4 2025 through the Q2 2026 lows**, his Signaling Process forced the humility to cover and reverse. He contrasts DCF-style fundamental modelling ("what something is worth in a vacuum") with the **Fractal Dimension** — self-similar price patterns repeating across **TRADE, TREND and TAIL** durations, plus Pod1 revenue rate-of-change embedded in the Quad.

Investment implication: keep buying dips in Signal-compliant **#Quad1** tickers; let price, volume, volatility and the Risk Range drive sizing, not the headline.

Risk Range™ Signals — 08/27/26

Asset	Risk Range™	TREND
10Y U.S. Treasury Yield (UST10Y)	4.61 - 4.74	Bullish
High Yield (HYG)	79.53 - 80.00	Bullish
Inv. Grade Corp Bonds (LQD)	105.6 - 107.1	Bearish

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Asset	Risk Range™	TREND
S&P; 500 (SPX)	7610 - 7801	Bullish
NASDAQ Composite (COMPQ)	25776 - 26799	Bullish
Russell 2000 (RUT)	2965 - 3075	Bullish
Health Care (XLV)	168 - 179	Bullish
S&P; 500 Equal Weight (RSP)	220.00 - 225.00	Bullish
Tech-Software (IGV)	100.00 - 106.00	Bullish
Shanghai Composite (SSEC)	3856 - 3999	Neutral
Nikkei 225 (NIKK)	64008 - 69396	Bullish
German DAX	25925 - 26499	Bullish
Volatility Index (VIX)	14.07 - 16.37	Bearish
U.S. Dollar Index (USD)	98.30 - 99.79	Bearish
WTI Crude (WTIC)	80.34 - 88.00	Neutral
Natural Gas (NATGAS)	2.67 - 2.95	Neutral
Gold Spot	4389 - 4751	Bullish
Copper Spot	6.46 - 6.72	Bullish
Silver Spot	65 - 72	Bullish

Notable shifts vs. 08/26: NASDAQ (COMPQ) flipped from **Neutral** to **Bullish**; Shanghai (SSEC) improved from **Bearish** to **Neutral**; WTI and NatGas both moved from **Bearish** to **Neutral**.

THE MACRO SHOW — Summary Notes, Thursday 27 August

Keith McCullough & Macro Analyst Matt Cooper · 08/27/26 10:36 AM EDT (10:36 PM GMT+8)

Bullish: NVDA, MSFT, OKTA, CRWD, SNOW, PANW, DT, IGV, XLV, Gold (AAAU), Silver (SLV), Platinum, Copper Miners (ICOP), EUR, JPY, CAD. **Bearish:** TSLA, XLU.

NVIDIA confirmed the broader bullish tech setup. NVDA held **\$207 TREND**, broke above **\$218 TRADE**, and put the top of the range near **\$230** in play. The Alpha Code defined where momentum would accelerate *before* the print. More consequentially, the move pulled NASDAQ volatility lower: **VXN below 22** moves NASDAQ into the **Investable Bucket** alongside SPX and RUT, described in the deck as “very bullish” for Hedgeye’s software longs.

Software still preferred over semis. He said explicitly he likes software more than semiconductors despite the improving semi setup, citing **OKTA** and **CRWD** as outperforming NVDA. He pushed back on year-to-date framing: **OKTA** should be measured from the actual **May 26** signal date. **MSFT** remains long. **Apple** returned to bullish TRADE and TREND after threatening a breakdown, but was not stated as a position. **GOOGL** remains bearish TREND and has already been exited.

High-beta momentum is recovering off deep drawdowns and he reads that as bullish in **#Quad1** — but he is not buying every semi or every breakout, repeatedly separating “bullish signal” from “want to own.”

Precious metals: buying dips, broadening. Still bullish **Gold** and **Silver**, and looking to add **Platinum** — the next thing he wants to buy (“Next thing I want to buy is platinum, not... South Korea”). He bought more

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Gold into the prior close after a ~1.5% decline. **Copper miners (ICOP)** cited as one of the portfolio's strongest performers, added to on weakness. Framework: *"Down Dollar, Long Gold, Silver."*

Healthcare weakness is an add; Utilities stay short. Healthcare pulled back off the top of its range as expected — *"now you get to buy more health care."* The **Utilities** bounce was an opportunity to short, not chase.

Tesla short reiterated. He flagged heavy activity in the leveraged Tesla product and dismissed the idea that a Tesla/SpaceX combination would necessarily be bullish — arguing it could be negative — while stressing the signal remains bearish regardless of narrative.

Asia: China turns bullish TRADE (a new development). **South Korea** also moved to bullish medium-term TRADE after holding **67.99/68** for two sessions, alongside bullish signals in **SanDisk**, **Marvell** and **NVDA**. Critically, he is *not* buying Korea: the **Bank of Korea** is tightening into a coming slowdown and Hedgeye's forward Quad path takes Korea back toward **Quad 4** — the signal says "don't short it," but a failure to establish bullish TREND puts Korea near the top of the short list. **Position change:** the **Philippines** broke TREND and the entire position was sold.

Currencies: CAD added. Long **EUR** and **JPY**, with a new/additional **Canadian Dollar** position bought on the prior day's weakness. Sizing was driven by proximity to range lows — **CAD** closest, **JPY** second, **EUR** nearer the middle. **Bitcoin** remains bullish TRADE and TREND; no new position stated.

Portfolio strategy: rotate capital out of extended winners into better entries — **IGV** was named as a potential source of funds. The stated discipline: let winners run, stop out of losers, judge the whole portfolio, not the individual trade (his illustration: a **3%** stopped-out loss redeployed into a position that then gains **12%**).

MOMO TRACKER — [CORRECTION]

Christian Drake & Ryan Ricci · 08/27/26 08:53 AM EDT (08:53 PM GMT+8)

Mag7 (-0.1%), NVDA (+6% pre-market) = BULLISH, NazVol Joins Investable Bucket. This is a corrected republication of the 08:31 AM note — prices and Risk Ranges were only partially refreshed in the original.

The headline is the one the Macro Show built on: **NVDA up ~6% pre-market** flipping the signal bullish, while the **Mag7** basket as a whole was roughly flat at **-0.1%** — a dispersion point consistent with the "broadening, not concentrating" thesis. **NASDAQ volatility (NazVol/VXN)** dropping into the Investable Bucket is the structural change.

Note: the tracker's substance is delivered as dashboard tables and charts; text extraction returned only the product disclaimer, so this summary is built from the headline, the correction note, and corroborating Macro Show commentary.

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CAPITAL ALLOCATION PRO — Daily Dashboard | Model Portfolios

Robert McGroarty, Andrew Nanai, David Salem · 08/27/26 08:34 AM EDT (08:34 PM GMT+8)

No new Model Portfolio changes today. The most recent catalogued changes went into effect using closing prices on **Wednesday, August 19th, 2026**. **TREND and TAIL levels** for the **68 ETFs** in the universe were last refreshed using **31 July** closing prices, on the team's standard **3-4 week** update cycle.

The **August 2026 Monthly Commentary** posted **5 August**; the latest **Key Callouts** video was recorded **6 August**. The team reiterated its “pull vs. push” philosophy — daily content sits on the site, emails are only sent when research demands immediate attention.

ETF PRO PLUS — 3 New Changes

08/27/26 10:39 AM EDT (10:39 PM GMT+8)

- **Adding Long: Spain (EWP)** — price at or near the low end of the Risk Range with a bullish TRADE/TREND signal. Notable given McCullough called Spain “the best-looking market” in Europe on Wednesday's Macro Show while noting he hadn't yet had the buying opportunity. He now has it.
- **Adding Short: Future Vehicles (CARZ)** — at or near the high end of the range on a bearish signal; consistent with the standing **TSLA** short.
- **Removing Long: Interest Rate Hedge (PFI)** — broke TRADE/TREND. Worth flagging that **PFI** was added long only one day earlier (08/26), a fast reversal driven by the oil-led move in yields.

SIGNAL STRENGTH STOCKS — 83 Stocks

08/27/26 01:39 PM EDT (08/28 01:39 AM GMT+8)

Added: GSL, BBY. Removed: SPHR, HQY, PCAR. The count steps down from **84** to **83**, continuing a gradual contraction from **87** on 08/20 — the quantamental screen is tightening even as the indices broaden, consistent with McCullough's insistence on distinguishing bullish signals from names he actually wants to own.

BITCOIN TREND TRACKER — Crypto Quant

08/27/26 07:51 AM EDT (07:51 PM GMT+8)

BTC +1.6%, with **ETF inflows week-to-date of +\$1.36B**. The note frames **the floor at \$62K-\$65K** and **the ceiling at \$83K-\$86K**, characterising the current tape as **(re)accumulation**.

Corroborated on the Macro Show, where McCullough described Bitcoin as bullish TRADE and TREND and Hedgeye's Bitcoin signal as historically one of its strongest — though no new position was disclosed.

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Yesterday's Publications

EARLY LOOK — “#Quad1 Dollylocks”

Keith McCullough · 08/26/26 07:52 AM EDT

- **What:** McCullough renamed Goldilocks **#Quad1** as “**#Dollylocks**” in tribute to **Dolly Parton**, who died at **80**, and used it to frame a cross-asset breadth day.
- **Why:** The core **#Quad1** condition — the **rate of change of inflation slowing** while the **rate of change of real growth accelerates** — is being confirmed across asset classes, not just in the headline indices. The US economy is transitioning out of **July's monthly #Quad4** into **#Quad1 in September**.
- **Who:** **Healthcare (XLV, FXH)** — Hedgeye's #1 US equity sector style — revisited **all-time highs**. The **#Quad1 credit pivot to High Yield (HYG)** printed an **all-time high**. Leadership sat in heavily-shortened cohorts: the **GS Most Short Consumer Staples** basket **+1.8%** Monday, the **GS Most Short Healthcare** basket **+5.2%** Tuesday.
- **Key numbers:** **468 of the S&P 500's** companies had reported a **+50% year-over-year EPS acceleration**. **WTI** broke the Alpha Code **84/83** levels. Still short **USD**.
- **Takeaway:** Accelerating earnings plus breaking oil is the textbook **#Quad1** combination. Credit markets are confirming the regime while the bear narrative ignores them — stay long the leadership rotating away from crowded consensus.

THE MACRO SHOW — Summary Notes, Wednesday 26 August

Keith McCullough & Emma Vlasic · 08/26/26 10:38 AM EDT

- **What:** Oil-led session. **WTI** broke *both* Alpha Code levels — **84 TRADE** and **83 TREND** — and “the floodgates opened,” with the new low end of the range near **\$79.09**.
- **Why:** “*Get oil right and you're getting the signals on UST yields right.*” With oil down roughly **8-9%** in two days, the short end read it dovishly: the **2-year** broke medium-term **TRADE** support around **4.24%/4.21%** (called neutral) and the **10-year** broke its immediate-term **TRADE** level at **4.67%** — with **Jackson Hole** and an accelerating **August CPI** as the next tests.
- **Who:** The “**H-squared**” longs — **High Yield** at a new all-time high (inconsistent with a recession narrative) and **Health Care** as the highest-conviction sector style, long via both **XLV** and **FXH**. **XLV** **+7.8%** for August; the **GS Most Short Healthcare** basket **+5.2%** on the day and **+13%** over one month.
- **Key numbers:** **SPX** risk range pointed to **7,818** as a higher all-time high. **VIX** **~15.5** with medium-term downside toward **14** — a buy-the-dips market. **NVDA** held **208 TREND** with a **193-231** range, but McCullough explicitly had **no position** into earnings, calling the catalyst a “nothing burger” and noting **NVDA's 7.3% S&P weight** was too large for a single-stock position in his own account. He had cut Real-Time Alerts from **12 longs and one short** back to **four** after the bounce.
- **Positioning:** Long **Gold**, **Silver** (bought on sale the prior day), **Copper Miners (ICOP)** at all-time highs, **New Zealand (ENZL)** at highs. **Japan** and **Europe** bullish **TRADE** and **TREND** — **Spain** the best-looking market but not yet owned. **China** bearish. **Canada** — currency and equities both bullish, with the next two quarterly Quads **Quad1/Quad1** — circled as a top-three buy. Not long **META**, **GOOGL** (“still sucks,” worst S&P long the prior day) or **TSLA**. **NASDAQ** showed a *lower* high and was explicitly not the preferred long.
- **Takeaway:** The September **#Quad1** shift is being led by breaking oil, responsive rates, and working health care and credit. Nearly every one of these calls was validated or upgraded within 24 hours —

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most notably NASDAQ, which flipped from “lower high, not our long” on Wednesday to “Investable Bucket” on Thursday.

ETF PRO PLUS — 5 New Changes

08/26/26 10:33 AM EDT

- **What:** Five real-time changes. **Adding Long: Canadian Dollar (FXC)** and **Interest Rate Hedge (PFI)**. **Adding Short: Credit Rotation (JOJO)**. **Removing Long: Philippines (EPHE)** (24.54-26.03) and **Interest Rate Hedge (IVOL)** (17.25-17.75).
- **Why:** **FXC** operationalises the Canada call — bullish **TRADE** and **TREND** with **Quad1/Quad1** ahead. **EPHE** was removed on the **TREND** break McCullough described on the show as selling the entire Philippines position.
- **Takeaway:** Two of these moved fast — **PFI** was long here on Wednesday and **removed on Thursday**, while the **IVOL/PFI** swap shows the rate-hedge sleeve being actively re-cut around the oil-driven yield move.

CAPITAL ALLOCATION PRO — Daily Dashboard

08/26/26 08:45 AM EDT

- **What:** No new Model Portfolio changes; the dashboard continues to reference the **19 August** effective changes.
- **Takeaway:** A quiet two days on the model-portfolio side while the tactical action ran through **ETF Pro** and **Real-Time Alerts**.

SIGNAL STRENGTH STOCKS — 84 Stocks

08/26/26 01:01 PM EDT

- **What:** **Added: ETSY, MNTN**. Net **-1** to **84** names (2 added, 3 removed).
- **Takeaway:** Consumer-discretionary and ad-tech additions are consistent with the **#Quad1** consumer thesis McCullough laid out in the Dollylocks Early Look.

BITCOIN TREND TRACKER — Crypto Quant

08/26/26 07:33 AM EDT

- **Key number:** **BTC +0.6%**, building the base that became the **+1.6%** day and the **\$62-65K floor / \$83-86K ceiling** re-accumulation frame published Thursday.